

Kapil Jain vs Sh. D K Jain on 17 December, 2024

IN THE COURT OF CIVIL JUDGE-07, (CENTRAL),
TIS HAZARI COURTS, DELHI

CS SCJ No. : 1519/21
CNR No. : DLCT03-003061-2021

DATE OF DECISION : 17.12.2024

PRESIDING OFFICER: Mr. SAHIL GUPTA

Kapil Jain
Proprietor Arihant Automobiles,
A-170, Palam Extension Sector 7,
Dwarka, New Delhi.

.....Plaintiff

Versus

Sh. D.K Jain,
Proprietor, D.K Jain & Sons
Shop No. 3 & 4 New Link Road, Opposite Laldwara,
Near Jhandewalan Metro Station, New Delhi-110005
☐0.7838531736. Abhinav 231191@gmail.com

.....Defendant

DATE OF INSTT: 28.07.2021

DATE OF RESERVED FOR JUDGMENT: 17.12.2024

Argued by:

- (a) Mr. Arvind Kumar, Ld. counsel for plaintiff.
- (b) Ms. Shivani Ghosh, Ld. counsel for defendant.

SUIT FOR RECOVERY OF RS. 2,83,310/- ALONG WITH
INTEREST @ 24% FROM 10.09.2018 TILL 10.01.21 ALONG
WITH PENDENTE-LITE AND FUTURE INTEREST

JUDGMENT

1. Vide this judgment, I shall decide the present suit seeking Kapil Jain vs. D.K Jain CS SCJ No. : 1519/21 Page no. 1 of 9 recovery of Rs 2,83,310/- along with interest @24% p.a. from 10.09.2018 till 10.01.2021 along with pendente-lite and future interest.

2. The case of the plaintiff in brief is that the plaintiff is a proprietary firm trading under the name and style of M/S Arihant Automobiles having its registered office at A-170, Palam Extension, Sector 7, Dwarka, Delhi-110075. That Mr. Kapil Jain is the proprietor of the firm and is authorised to prosecute the present suit. It is submitted that the plaintiff firm is an authorised distributor of steel

bird helmets and is having good reputation in their business. That defendant is a proprietorship firm and Mr. D.K. Jain is a proprietor of defendant firm. It is submitted that defendant approached the plaintiff firm for the purchase of above mentioned goods. It is submitted that the plaintiff has been continuously supplying the goods since 2017-18 and 2018-19 as per the orders received from the defendant. It is submitted that a sum of 1,81,609/- was due and payable against the defendant taking into consideration all the invoices as well as adjusting the amount that has been paid by the defendant till date. That the defendant issued a cheque of Rs. 50,000/- bearing number 477285 dated 17.02.18, which was dishonoured. It is submitted that the defendant despite the repeated requests and reminders failed to pay the above stated due amount. That the defendant is also liable to pay interest amount @24% from 10.09.2018 till 10.01.2021 coming out to 1,01,701/-. That the plaintiff sent a legal demand notice dated 16.12.20 calling upon the defendant to pay the balance amount, but despite the service of notice, the defendant failed to discharge his liability. The plaintiff has further Kapil Jain vs. D.K Jain CS SCJ No. : 1519/21 Page no. 2 of 9 submitted that this court has territorial jurisdiction to try and entertain the present suit. Hence, the present suit.

3. WS was filed by defendant and it was stated by the defendant that the defendant has already cleared his account on purchase of goods and no balance amount is left to be paid. That the plaintiff has not filed any bill which shows that the plaintiff had supplied goods to the defendant. That the defendant had stopped taking goods from the plaintiff in the month of August 2017 till November 2017, as the plaintiff started dealing with the clients of the defendants by supplying the goods directly to the clients to whom the defendant supplied the goods. That the defendant purchased some goods from the plaintiff during March 2017 to January 2018 for which that pending had paid the entire amount for the good purchased. That the cheque of 50,000/- was given to the plaintiff by the defendant for payment of goods purchased, but some goods were found defective and the plaintiff was asked to take back the defective goods which the plaintiff did not take. That the plaintiff deposited the check without informing the defendant and the payment was stopped by the defendant. That the plaintiff took 25,000/- for settling the matter of 50,000/-, but despite taking Rs. 25,000/, the plaintiff filed the case u/s 138 NIA with respect to the said cheque.

4. In the replication filed by the plaintiff, the contentions of the written statement have been denied and the averments made in the plaint have been reiterated and reaffirmed.

5. Hence, pertinent question to be decided in the present case Kapil Jain vs. D.K Jain CS SCJ No. : 1519/21 Page no. 3 of 9 is:

(a) Whether the defendant has already cleared his account and made complete payment of goods purchased from the plaintiff? OPD.

(b) whether the plaintiff is entitled to the decree of Rs.

2,83,310/- including interest @24% p.a. From 10.09.2018 to 10.01.2021 against defendant? OPP

(c) whether the plaintiff is entitled to pendente lite and future interest, if yes, at what rate and for what period? OPP

(d) Relief

6. To prove its case, the plaintiff has examined himself as PW1 who tendered his evidence by way of affidavit which is Ex. PW1/A. PW1 has relied upon following documents:

- (i) Ex.PW1/1 : legal notice.
- (ii) Ex.PW1/2 : original postal receipt.
- (iii) Ex.PW1/3 : tracking report.
- (iv) Ex.PW1/4 (OSR) : Aadhar card of dependent.
- (v) Ex.PW1/5 : final copy of account statement.
- (vi) Ex.PW1/6 : conviction order against defendant in

case no. 2589/18 passed by Mr. Satinder Kumar Gautam, Ld. PO special Court, NIA, Dwarka Courts.

(vii) Ex.PW1/7 : settlement order in case no. 2589/18 passed by Mr. Satinder Kumar Gautam, Ld. PO special Court, NIA, Dwarka Courts

(viii) Ex.PW1/8 : certificate u/s 65B of Indian evidence act.

(ix) Ex.PW1/9 : records of CC no. 2589/18 (exhibited Kapil Jain vs. D.K Jain CS SCJ No. : 1519/21 Page no. 4 of 9 vide order dt. 01.08.2024)

7. PW-1 was cross examined at length on 02.11.23 and was discharged on the same day. PE was subsequently closed on the same day and the matter was put for DE.

8. The defendant examined himself as DW-1. He tendered his evidence by way of affidavit which is Ex.DW-1/A wherein he reiterated the averments made in the present plaint. The same are not reproduced here for the sake of brevity.

9. DW-1 was cross examined at length on 01.08.2024 & 10.09.2024 and was discharged on the same day. DE was subsequently closed on the same day and the matter was put for Final Arguments.

10. I have heard the arguments and perused the record.

11. The issues no. 1, 2 and 3 are taken up together being inter- related. It is the case of the plaintiff that the plaintiff supplied the goods to the defendant from the year 2017 to 2019 as per the orders received from the defendant but the defendant failed to pay for the goods purchased and is liable to pay 1,81,609/- towards the principal amount and 1,01,701/- towards interest @24% from 10.09.18 to 10.01.21 and the defendant had issued a cheque of 50,000/- towards the discharge of the liability, which was dishonoured. On the contrary, it is the case of the defendant that he had purchased the goods from the plaintiff from August 2017 till November 2017 and has already made the complete Kapil Jain vs. D.K Jain CS SCJ No. : 1519/21 Page no. 5 of 9 payment for the goods purchased but some of the goods supplied by the plaintiff were defective and the defendant asked the plaintiff to take back the goods and not to present the cheque of 50,000/- given by the

defendant towards the discharge of the liability.

PW-1 during the cross examination admitted that the bills of the goods were raised after supplying the goods to the defendant, and that due amount towards the good supplied is from March 2017, till March 2020. PW1 further admitted that he did not know how much amount defendant had paid to him till date. It was further admitted by PW1 that he had not filed the receiving bills on record. It was also admitted that the complaint u/s 138 NIA for recovery of 50,000/- was filed with regard to the goods sold to the defendant and that he did not know whether the amount of 50,000/- was included in the total amount of 1,81,000/-. The witness also admitted having received 25,000/- from the defendant after serving the legal demand notice and before filing the present case. PW-1 deny the suggestion that the defendant is liable to pay 50,000/- only towards the goods purchased which has already been paid in the cheque bounce case.

DW-1 during the cross-examination admitted that he has not filed any documents to prove that he has cleared the balance amount for the purchase of goods. DW-1 denied his signatures on the bill dated 16.05.2017. Further, it was admitted that the last payment of 25,000/- through account was made by him to the plaintiff on 11.09.2018. DW-1 for the admitted that he has not filed any cash receipt or statement of account to prove that the balance payment was made by him in cash. It was further Kapil Jain vs. D.K Jain CS SCJ No. : 1519/21 Page no. 6 of 9 admitted that he had issued the cheque of 50,000/- to the plaintiff towards the payment for the purchase of goods. DW1 further admitted that he has not filed any document to prove that the good supplied by the plaintiff were defective or that he had filed any complaint or case against the plaintiff regarding the defective goods. It was also admitted that the defendant has not returned the defective goods to the plaintiff till date. The witness also admitted that he was convicted in the complaint case u/s 138 NIA and had paid 75,000/- i.e. 50,000 through bank and 25,000/- in cash.

The plaintiff has filed the certified copies of the invoices/bills forming part of the records of CC no. 2589/18 Ex. PW-1/9. DW-1, during the cross examination, denied his signatures on the bill dated 16.05.2017 but failed to prove the fact that the signatures of the defendant on bill dated 16.05.2017 are forged and fabricated. The defendant has further failed to file any document i.e. cash receipt to prove that he had cleared the balance payment for the purchase of goods. Further, the defendant has failed to prove that the goods supplied by the plaintiff were in fact defective or that any complaint or case was filed by the defendant against the plaintiff regarding the defective goods. The defendant further admitted that he had not returned the defective goods to the plaintiff till date. It is also an admitted fact that the defendant was convicted in the matter under/s 138 NIA in which the defendant had paid 50,000/- to the plaintiff and had also paid 25,000/- as compensation to the plaintiff.

Hence, plaintiff has duly discharged its burden of proof under Section 101 of the Indian Evidence Act, 1872. It was for the defendant bank to prove that the balance payment was made Kapil Jain vs. D.K Jain CS SCJ No. : 1519/21 Page no. 7 of 9 or that the goods supplied by the plaintiff were defective, however defendant has failed to do so.

Accordingly, the issues are decided in favour of the plaintiff and against the defendant.

12. Plaintiff has claimed interest @ 24.00% per annum from 10.09.18 till 10.01.21 along with pendente lite and future interest. However, considering the prevailing market conditions, it is not considered equitable to grant this high rate of interest. Accordingly, simple interest @ 9% per annum is considered reasonable and equitable and therefore, pendente lite and future interest @ 9% p.a. (simple interest) is awarded to the plaintiff bank.

RELIEF

13. Since the plaintiff has already filed another case against the defendant u/s 138 NIA in respect of the cheque of Rs. 50,000/- issued by the defendant which the defendant has already paid and the present suit has been filed for recovery of recovery of amount for the goods supplied, the court is not inclined to grant the relief of recovery of 2,83,310/-.

In view of above discussion, the suit of the plaintiff is hereby decreed as under:

- a) A decree for the recovery of Rs. 1,31,609/- is passed in favour of plaintiff and against the defendant.
- b) Interest @ 9% p.a. w.e.f. 10.09.2018 till 10.01.2021 along with pendente lite and future interest @ 9% p.a.
- c) Costs of the suit also awarded in favour of the plaintiff Kapil Jain vs. D.K Jain CS SCJ No. : 1519/21 Page no. 8 of 9 and against the defendant.

14. Decree sheet be prepared accordingly.

15. File be consigned to record room after due compliance.

Digitally signed by SAHIL SAHIL GUPTA GUPTA Date:

2024.12.17 15:23:11 +0530 Announced in the open Court SAHIL GUPTA Civil Judge -07 (Central) Tis Hazari Court, Delhi Dated: 17.12.2024 Note: This judgment contains 9 (Nine) pages and each page has been checked and signed by me. Digitally signed by SAHIL SAHIL GUPTA GUPTA Date:

2024.12.17 15:23:17 +0530 SAHIL GUPTA Civil Judge -07 (Central) Tis Hazari Court, Delhi Dated: 17.12.2024 Kapil Jain vs. D.K Jain CS SCJ No. : 1519/21 Page no. 9 of 9